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From the editor-in-chief

The script is vintage Bollywood: two brothers falling out over the inheritance of a business empire, spy versus spy, media leaks, powerful political connections and lobbies, court battles and business rivalry. There's even the ubiquitous 'Ma' in the background torn between her two sons. The Ambani saga is India's biggest reality show, involving India's biggest business stars—Mukesh and younger brother Anil. Yet, their ferocious sibling rivalry following the death of Dhirubhai, their father and founder of Reliance Industries in 2002 has become embarrassing in its intensity and mutual self destructiveness. Two years after Dhirubhai's death, instead of brothers in arms, it became brothers up in arms and the empire split. At the height of the boom the two brothers were together worth \$85 billion but even after the meltdown they are worth over \$30 billion. So what happens to them and their businesses is of immense public interest.

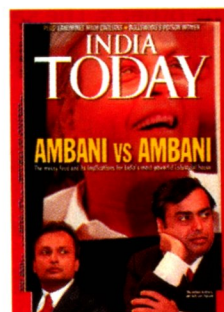
We now have, like the very successful *Godfather* series, Ambani War II. It is a very public battle over the supply and pricing of gas from one brother's company to one of the other brother which emanates from the Memorandum of Understanding (MOU) at the time of the division of assets. This dispute has rocked Parliament, led to the petroleum minister being openly accused of bias by one brother and his political friends, been dragged into the Prime Minister's Office and even reached the Supreme Court. Meanwhile, Anil has gone on the offensive, holding press conferences, addressing shareholders, writing to the prime minister and making the battle public.

This is no ordinary corporate battle. Besides the fact that it is a blood feud wrapped up in gigantic egos, the money involved is humungous. The RIL gas find is estimated to be worth around Rs 2,25,000 crore, the government is expected to earn Rs 70,000 crore as royalty, RIL has claimed to have spent Rs 45,000 crore in exploring the gas and if Anil's company gets the gas at the agreed price, RIL stands to lose Rs 42,000 crore over 15 years at today's price of gas. This as you can see is no small potatoes even for the richest man in India. The issues involved in the dispute are highly complex with most of it buried in fine print and dense with legalese in all the various contracts and government regulations. In this kind of situation there is an enormous amount of disinformation, all very slickly presented by both sides. It requires experience to sort out the facts from the faff.

Fortunately, we have that in our Managing Editor Shankkar Aiyar who has tracked the brothers for nearly two decades. Says Aiyar: "Given their scale and ambitions, this certainly won't be the last."

For me whenever the Ambani war heats up it reveals the ugly underbelly of Indian politics and business. Last time it was the hundreds of RIL investment companies with all kinds of dubious transactions. This time, it is how everything looks kosher but somehow it gets fixed to give favours to a preferred party. This is not to say that any of the players in this dispute can apply for sainthood but the fact that our system of government regulation and tendering processes lacks transparency and true accountability. India ranks below even Swaziland on the World Bank's index on ease of doing business. If we are to develop our desperately needed infrastructure, this has to change.

(Aroon Purie)



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